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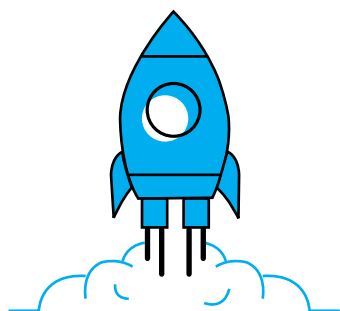
**T**wo days after the country launched its Chandrayaan-3 mission to explore the lunar surface, the GST Council, in a surprise announcement, exempted private launch service companies from paying GST if they launched satellites into space using their launch vehicles or rockets. Welcoming the announcement, Lt Gen. (Retd) Anil Kumar Bhatt, Director General of Indian Space Association (ISpA), the country's apex industry body, tells *Business Today* that this will definitely incentivise the nation's space industry and help in its growth. "We hope this is made available across all satellite service domains, including applications."

Space technology start-ups in the country, currently around 150, are over the moon hearing the news. Skyroot Aerospace, which launched India's first privately built rocket into space in November 2022, hails the move as a historic one towards a more level playing field. "Previously this [exemption] was only available to New Space India Ltd (NSIL, the commercial arm of

the Indian Space Research Organisation or Isro). It's heartening to note that it has been extended to private players as well," says Pawan Kumar Chandana, Co-founder & CEO of the Kondapur, Telangana-based spacetechnology firm Skyroot Aerospace. Bengaluru-headquartered space situational awareness (SSA) firm Digantara Research & Technologies, which recently raised an additional \$10 million in funding, called the move "transformative". "By eliminating this tax barrier, the government has demonstrated its commitment to fostering innovation and growth within the space tech sector," says Co-founder & CEO Anirudh Sharma.

In April this year, the Cabinet Committee on Security (CCS) approved the Indian Space Policy, 2023. While promoting the role to be played by the private sector, the policy aims to augment the country's space capabilities; enable, encourage and develop a flourishing commercial presence in space; use space as a driver of technology development and derive benefits in allied areas; pursue international relations; and create an ecosystem for effective implementation of space applications among all stakeholders. Moin S.P.M., Co-founder & COO of Chennai-based launch vehicle maker AgniKul Cosmos, believes the policy will give a fillip to research and development (R&D) in emerging areas such as launch vehicles, space tourism, satellite servicing and space-based applications for climate change, disaster management, and other societal needs. "This will encourage India's private players on the whole to be a part of future global leaders in the space sector."

The opening of the Indian space sector to private entities in 2020 is beginning to bear fruit. The sector has secured \$62 million in funding in the first half of 2023, a 60 per cent increase over the corresponding period last year. In 2022, it attracted \$112 million in funding, a growth of 22 per cent over 2021. Over the past few years, despite the current funding winter, India's space technology industry has expanded



## \$8 BILLION

The current size of the Indian space market, which has grown at a CAGR of 4 per cent in the past few years compared to 2 per cent globally, as per a report by global consultancy Arthur D. Little